EXECUTIVE REPORT

Diversified ETF Simulated Portfolio — Second-Month Cutoff

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Cutoff date: October 26, 2026 (62 days / 2.0 months since opening)

Figures calculated with the author's own portfolio-tracking system, using official market closing prices for the cutoff date. October 25, 2026 was a Sunday, so the cutoff uses the close of Monday, October 26.

1. Executive Summary

At the close of the second month of operation (October 26, 2026), the simulated portfolio is worth **$99,906.55 USD**, equivalent to a return of **-2.60%** since its opening, measured on the capital actually disbursed, versus +0.16% for the S&P 500 in total return —the comparison metric— over the same period: a lag of **2.76 percentage points** (versus 1.77 points at the first cutoff). In the second month alone, the portfolio fell -1.81% while the S&P 500 in total return fell about -0.80%.

Unlike the first month, the lag is no longer explained by entry costs. Before the currency-conversion fee and the GMF (Colombia's 4x1000 financial transactions tax), the portfolio would have returned -0.82% versus +0.16% for the index (-0.98 points); at the first cutoff that same comparison showed a difference of only +0.04 points. The deterioration in the second month comes from the performance of the investments.

The price effect of the month was about -$1,868 USD, and a single position explains most of it: **SOXX (semiconductors) subtracted $1,617 USD (-14.12%), about 87% of the month's loss.** It was followed by COPX (-$685), GLD (-$486) and XLK (-$438). In the opposite direction, XLE (+$965), SCHD (+$938) and XLV (+$395) cushioned the fall. Diversification worked partially: the positions outside the technology cycle contributed about $2,300 USD, but not enough against a concentrated position (9.85% of the portfolio) that fell 14%.

At this cutoff the decision was made **not to rebalance**: the close of the month coincided with a sharp drop in technology and semiconductor stocks, the second round of the presidential election in Brazil and other sources of volatility, so it was preferred not to execute changes in the middle of market stress. Section 7 details the reasoning and the consequences of that decision.

2. Assumptions and Methodology

The methodology is the same as in the first report; this section summarizes the assumptions needed to read the figures and flags the changes in this cutoff.

- **Exchange rate and conversion fee:** the conversion of Colombian pesos into dollars was carried out at the trading rate of Global66 (an online currency-transfer platform) —not at the official TRM, Colombia's representative market rate— of $3,074.50 COP/USD, with a fee of 1.4% on the amount sent (platform quote for about USD 100,000), recorded as an "exchange-rate cost". It is the only relevant currency conversion in the life of the portfolio to date.
- **GMF (4 x 1000):** the Gravamen a los Movimientos Financieros, a Colombian State tax independent of Global 66, calculated on the amount sent.
- **Actual capital disbursed:** $102,572.05 USD (about $315,357,771.28 COP), of which $100,733.11 USD ended up invested in the market; the fee was $1,430.29 USD and the GMF $408.65 USD. The official return is measured against the actual capital disbursed and is net of fees.
- **Transaction fees:** all trades are executed at Interactive Brokers under the IBKR Lite plan, with no commission per transaction on U.S.-listed stocks and ETFs.
- **Cash and dividends:** the $18.90 USD remainder from the SPY → SCHD rebalancing (September 17) and the dividends received make up the cash balance (CASH). **Change in this cutoff:** during the second month a single new dividend was received, from VTI ($25.81 USD, paid on September 28); accumulated dividends total $276.38 USD and cash goes from $269.47 to $295.28 USD. Dividends are not reinvested and cash earns no return.
- **Benchmark:** the S&P 500 in total return (^SP500TR, with dividends reinvested), the industry standard; the price index (^GSPC) is shown only as context. The isolated second-month figures (for example, -0.80% for the S&P 500 in total return) are derived from the cumulative values at September 25 and October 26.
- **Previous rebalancing:** on September 17, SPY was sold and reinvested in SCHD, for a methodological reason (SPY replicates the index used as the benchmark). There were no new trades in the second month.
- **Selection criterion for the 13 original positions:** unchanged; the historical-performance filter and its result (6 of 13 positions beat the S&P 500 in total return over their verification horizon) are documented in the first-month report.
- **Tools:** the yfinance library, the VS Code platform and the Claude artificial-intelligence assistant were used to generate the data, tables, dividend calculations and charts; the code was subjected to rigorous review and correction by the author of this report. The market context in section 6 comes from public financial-press sources listed at the end of the report. The code is available to any interested party.

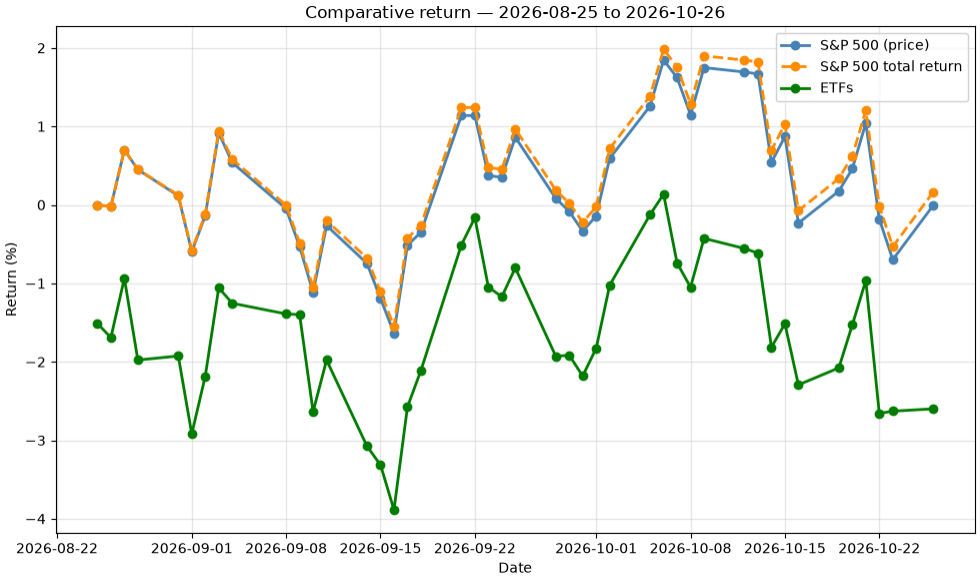
3. Comparative Return — Portfolio vs. S&P 500

The following table compares the cumulative return since opening with that of the second month taken in isolation. All portfolio figures are net of fees.

Metric	Cumulative (Aug 25 to Oct 26)	Second month (Sep 25 to Oct 26)
Portfolio value	$99,906.55	$101,748.91 → $99,906.55
Portfolio return (net)	-2.60%	-1.81%
S&P 500 total return (^SP500TR)	+0.16%	-0.80%
S&P 500 price index (^GSPC)	-0.01%	-0.86%
Difference vs. total return	**-2.76 points**	**-1.01 points**
Difference vs. price index	-2.59 points	-0.95 points
Before entry costs (vs. invested capital $100,733.11)	-0.82%	—
Difference vs. total return before costs	-0.98 points	—

Note: the "Second month" column measures only what happened between September 25 and October 26, taking the value of September 25 as the base. Returns of consecutive periods compound; they do not add: that is why -1.77 + -1.01 (= -2.78 points) differs by 0.02 points from the cumulative lag of -2.76.

The following chart shows the daily evolution of the portfolio's cumulative return against the S&P 500 from the opening (August 25) to the cutoff of October 26, 2026:



The portfolio stayed below the S&P 500, in both total return and price index, throughout the whole period. The gap, 1.77 points on September 25, widened gradually through October to 2.76 points at the cutoff, amid the correction in technology stocks (section 6).

4. Composition and Performance at the Cutoff Close

The following table summarizes the 14 positions at the close of October 26, 2026, in the same order as the system output. “Return %” is each position's return versus its purchase price; “Month chg. %” is the change in its price between September 25 and October 26.

Position	Quantity	Price	Value (USD)	Weight %	Return %	Month chg. %
SCHD	449.00	$35.30	$15,849.70	15.86%	+4.13%	+6.29%
VTI	27.00	$375.59	$10,140.93	10.15%	-0.39%	-0.85%
SOXX	20.00	$491.83	$9,836.60	9.85%	-2.83%	-14.12%
XLE	127.00	$69.64	$8,844.28	8.85%	+10.35%	+12.25%
MAGS	119.00	$70.70	$8,413.30	8.42%	+5.21%	-2.67%
XLV	46.00	$179.28	$8,246.88	8.25%	+2.62%	+5.03%
XLK	44.00	$186.32	$8,198.08	8.21%	+3.48%	-5.07%
GLD	19.00	$367.82	$6,988.58	7.00%	-13.80%	-6.50%
IBIT	112.00	$45.22	$5,064.64	5.07%	+1.30%	-4.94%
ILF	144.00	$33.48	$4,821.12	4.83%	-3.71%	-3.65%
IWM	17.00	$276.99	$4,708.83	4.71%	-7.04%	-1.77%
KBWB	52.00	$88.20	$4,586.40	4.59%	-8.27%	-1.97%
COPX	53.00	$73.81	$3,911.93	3.92%	-21.92%	-14.90%
CASH	295.28	$1.00	$295.28	0.30%	+0.00%	—

Total portfolio value: $99,906.55 USD, of which $295.28 USD (0.30%) is cash. At the close of the cutoff, positions with a positive return represent 54.7% of the portfolio's weight and those with a negative return 45.0% —a more favorable proportion than at the first cutoff (43.5% and 56.2%)—, but the losses were concentrated in larger positions with a bigger recent decline.

The dividends accumulated since the opening, attributed to the exact payment date of each ETF and to the number of shares held by the portfolio that day, are detailed below; the only new payment in the second month is VTI's:

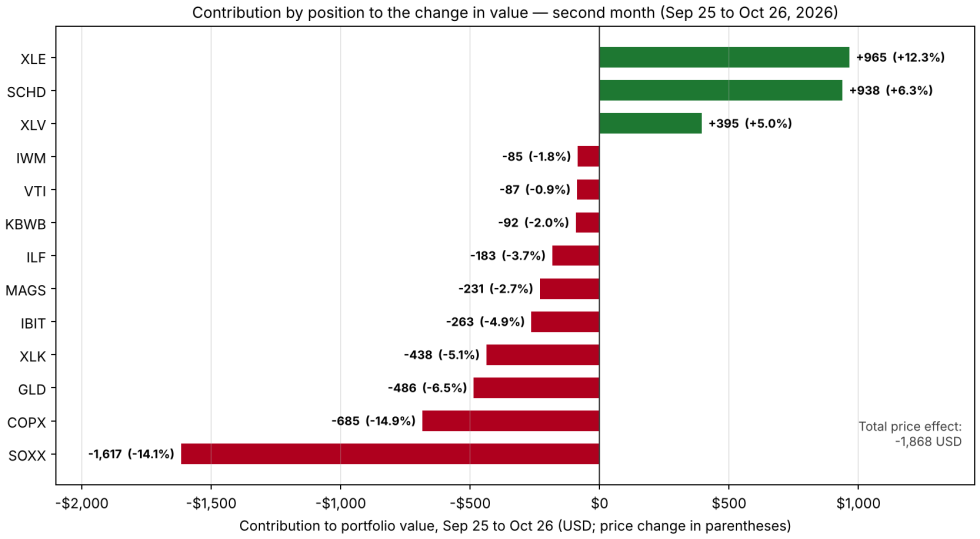
Position	Payment date	Div. per share	Shares	Amount (USD)	% of total
SCHD	2026-09-23	$0.2670	449.00	$119.88	43.4%
XLE	2026-09-21	$0.3800	127.00	$48.26	17.5%
XLV	2026-09-21	$0.6420	46.00	$29.53	10.7%
VTI (new)	2026-09-28	$0.9560	27.00	$25.81	9.3%

Position	Payment date	Div. per share	Shares	Amount (USD)	% of total
KBWB	2026-09-21	$0.4600	52.00	$23.92	8.7%
IWM	2026-09-15	$0.7500	17.00	$12.75	4.6%
XLK	2026-09-21	$0.2210	44.00	$9.72	3.5%
SOXX	2026-09-15	$0.3250	20.00	$6.50	2.4%
TOTAL				**$276.37**	**100.0%**

Note: the amounts per position are shown rounded to the cent; the total corresponds to the sum of the unrounded values and is consistent with the cash balance (remainder of $18.90 + dividends of $276.38 = $295.28 USD).

5. What Explains the Month's Result: Contribution by Position

The following chart breaks down the change in portfolio value between September 25 and October 26 by position (quantity × price change, in dollars). The sum of the price effects is -$1,868 USD; with VTI's dividend (+$25.81) and rounding differences, the portfolio value went from $101,748.91 to $99,906.55 USD (-$1,842.36).



- **Losers:** SOXX -$1,617 (-14.12%), COPX -$685 (-14.90%), GLD -$486 (-6.50%), XLK -$438 (-5.07%), IBIT -$263 (-4.94%), MAGS -$231 (-2.67%), ILF -$183 (-3.65%), and smaller losses in KBWB, VTI and IWM (between -$85 and -$92 each).
- **Winners:** XLE +$965 (+12.25%), SCHD +$938 (+6.29%) and XLV +$395 (+5.03%).

- **Concentration of the damage:** SOXX, COPX and GLD add up to -$2,788 USD, more than the total loss of the month; the other positions together contributed slightly less than one thousand dollars on the positive side.

6. Analysis: What Happened in the Second Month?

6.1 The Difference from the First Month: It Is No Longer the Costs

At the first cutoff, the 1.77-point lag versus the S&P 500 was explained by the one-time costs of opening the position: before the conversion fee and the GMF, the portfolio returned practically the same as the index. At this cutoff that explanation is exhausted. The cumulative lag grew to 2.76 points and, without entry costs, the portfolio would be 0.98 points below the index. The second month was therefore the first real test of the performance of the investments, and its result was unfavorable against the benchmark (-1.81% versus about -0.80%).

6.2 Semiconductors and Technology: The Origin of the Loss

The month was dominated by a deep correction in technology stocks. According to the financial press consulted, the semiconductor index (SOX) logged eight consecutive daily declines through October 16 —the longest streak since the 2008 financial crisis—, with about USD 2 trillion of market value erased, and it was the index's fifth correction of at least 10% this year. The causes cited by analysts were concern over AI spending, interest-rate expectations, growing competition in memory chips (including Chinese competition) and comments from Broadcom's CEO. The index is still up about 60% for the year; that is, the correction comes after a very strong rally.

In the week of October 12 to 16, the technology sector (XLK) fell 7.70%, the Nasdaq 4.48%, the S&P 500 1.95% and the Russell 2000 3.05%, while the Dow Jones rose 0.67% and the consumer staples (+5.02%), energy (+4.86%) and health care (+3.45%) sectors led the gains. On October 22 the Nasdaq fell another 2.60% and the S&P 500 1.21%. In that context, SOXX —the position that led the portfolio at the first cutoff with +13.14%— retreated 14.12% in the month and ended with a return of -2.83% versus its purchase price; MAGS (-2.67% in the month) and XLK (-5.07%) also gave ground, although they retain positive cumulative returns (+5.21% and +3.48%).

The S&P 500, being capitalization-weighted, shared part of that decline, but it was cushioned by the rotation into other sectors: hence the index closed the month with a moderate loss (-0.80% in total return) while SOXX lost 14%. The portfolio, with an 11.26% position in SOXX at the start of the month, was more exposed than the index to the hardest-hit part of the market.

6.3 Rotation into Energy and Defensives: Diversification Worked, but Was Not Enough

The counterpart of the technology decline was the rotation into energy and defensive sectors, which benefited three positions in the portfolio. XLE rose 12.25% in the month: WTI crude topped USD 100 a barrel on October 16 for the first time since September 21 (Brent near USD 109), on uncertainty over Middle East supply and doubts about Russian diesel shipments. XLV (+5.03%) benefited from the shift

toward health care, and SCHD (+6.29%), the dividend position added on September 17, had a good month thanks to its low technology exposure. These three positions contributed about $2,300 USD, which supports the portfolio's diversification thesis; the problem is relative size: the damage in SOXX, COPX and GLD was larger than the relief from the winners.

6.4 Gold and Copper: Neither Refuge nor Hedge This Month

GLD fell 6.50% in the month (from $393.41 to $367.82). Gold went from about USD 4,181 an ounce on October 16 to USD 4,043 on October 22 —a two-month low— and was near USD 3,996 on October 25. Notably, the decline did not coincide with a rise in rates, as in the first month: 10-year bond yields fell in October, so the explanation from the first report does not apply. The sources consulted do not attribute gold's decline to a specific cause; one of them observes that the defensive bid went to equity sectors (consumer staples, health care) and not to traditional safe-haven assets.

COPX fell 14.90% in the month. On October 22, when copper and miners sold off (Southern Copper -7.31%, Freeport-McMoRan -6.26%, the copper futures fund CPER -2.71%), the press described a broad risk-off session —the Nasdaq fell 2.60% and gold hit lows— rather than a copper-specific cause; U.S. initial jobless claims were lower than expected (194,000 versus 200,000), which kept expectations of high rates alive and supported the dollar. COPX, which holds mining companies (not the metal), behaved like a high-beta risk asset.

6.5 Brazil: Two Swings in One Month (ILF)

ILF (iShares Latin America 40) closed the month at -3.65% in a position with a significant exposure to Brazil. On October 4, in the first round of the presidential election, Senator Flávio Bolsonaro beat Lula (47% versus 45% of valid votes), contrary to what polls anticipated; on October 5 the Ibovespa rose as much as 8% and the real strengthened 1.4%. On October 25, in the runoff, Lula won with 51.79% of the votes versus 48.21% (results of Brazil's Superior Electoral Court), and according to Investing.com on October 26 the Ibovespa fell 13.88% (its largest one-day decline since March 2020, with trading halted for 30 minutes) and the dollar rose 8.79% against the real. ILF's final result reflects that back-and-forth, although the October 26 close already incorporates part of the reaction to the runoff. The same day, Colombia's COLCAP fell 1.38%, a smaller regional spillover.

6.6 U.S. Treasury Yields (^TNX)

In the first month, the rise in the 10-year Treasury yield (from 4.639% to 5.184%) was a common denominator behind the losses in gold, copper, banks and energy. In the second month the behavior was the opposite: the yield (^TNX) closed at **4.986%** on October 26, that is, it fell about 20 basis points from September 25. Cumulatively since the opening, the move is still upward (+34.7 basis points, from 4.639% to 4.986%; +7.48% in relative terms). According to the press consulted, the yield reached 5.10% on October 16 and 4.95% on October 22; one analysis notes that the technology decline of the week of October 12 to 16 *was not a rates story*, since yields fell while the sector retreated.

6.7 Scope and Limitations

Two months do not allow conclusions about the strategy. What they show is the nature of the risk assumed: a large winning position in semiconductors (SOXX), which added +13.14% in the first month, was also the one that lost the most in the second; diversification into energy, health care and dividends cushioned, but did not neutralize, the correction. The behavior of GLD and COPX, which did not act as a hedge in either month for different reasons (rising rates in the first; broad risk aversion in the second), is a finding worth following closely. All market-context figures come from public press sources and not from the system's own data.

7. Decision Not to Rebalance and Next Steps

The first report proposed evaluating, once the month was completed, a partial reduction of the winning technology positions (MAGS, XLK, SOXX) to control concentration, and an expansion toward international exposure and an additional defensive sector. At this cutoff it was decided not to execute that rebalancing, for three reasons: (1) the close of the month coincided with an abrupt technology correction, so any trim would have been executed after the fall rather than before it; (2) the second round of the Brazilian election and other factors increased the volatility of the close; and (3) a composition decision taken in the middle of that stress would carry more noise than information.

Consequence of the rule of not liquidating positions at a loss: SOXX is no longer a winning position (-2.83% versus its purchase price), so, under the project's rule, it cannot be sold while it remains at a loss. Of the three technology positions planned for trimming, only MAGS (+5.21%) and XLK (+3.48%) meet the condition today. This limits the rebalancing options and is an implicit cost of the rule that should be evaluated explicitly before the next cutoff.

- Define, before the third cutoff, whether the rebalancing will be limited to technology positions with gains (MAGS and XLK) or whether the rule against selling positions at a loss will be revisited, documenting the justification in either case.
- Keep monitoring concentration: SOXX went from 11.26% to 9.85% of the portfolio solely because of its decline; the three technology positions (SOXX, XLK, MAGS) add up to 26.5%.
- Keep the explicit record of fees, cash remainders and dividends at each cutoff, using the same methodology as this report.
- Continue the daily tracking of the portfolio against the S&P 500 in total return, documenting each decision with its justification before executing it.

8. Sources Consulted for the Market Context

Market-context figures in section 6 were taken from public financial press (consulted on October 28, 2026):

- Tapeboard — Stock Market This Week (October 12–16, 2026) and Market Pulse of October 22, 2026 (tapeboard.com).
- Stocktwits — Chip Stocks' On Track For 8-Day Slide Erasing $2 Trillion (stocktwits.com).
- BOE Report — US energy stocks gain as oil tops $100 on supply fears, October 16, 2026 (boereport.com).
- MercoPress — São Paulo stocks jump 8% and the real firms after Bolsonaro's first-round win, October 5, 2026 (mercopress.com).
- Investing.com — Ibovespa and dollar/real exchange rate, October 26, 2026 (investing.com).
- Brazil's Superior Electoral Court (TSE) — results of the October 25, 2026 runoff, and The Rio Times — copper market of October 22, 2026 (riotimesonline.com).
- Arab Finance — Gold prices collectively drop on October 25 (arabfinance.com).